

HSBC

4Q25 review: NII the bright spot

Reiterate Rating: BUY | PO: 158.25 HKD | Price: 135.30 HKD

Overall: Great quarter, greater guidance

HSBC printed a strong Q425, with PBT ex notable items ahead of consensus by 9%, driven by higher Banking NII, which was a 6% beat to consensus. Fee income and costs were both in line, with impairment slightly better (c.\$100m below). Hong Kong CRE impairment was immaterial in the quarter. Management also announced 45c dividend, in line with stated distribution policy. HSBC is our top pick within the Hong Kong bank sector, and today's results, as well as their ambitious target and guidance, support our conviction. Reiterate Buy, PO to HKD158.25 (from HKD149.60) driven by our estimate changes.

Guidance: At least \$45bn NII in 2026

Management provided guidance for both 2026 and the medium term. For 2026, these include (i) Banking NII at least \$45bn (consensus c.\$43.5bn), (ii) cost c.1% growth on target basis (i.e. c.\$33.8bn, c.\$500m below consensus c.\$34.3bn), (iii) ECL charge c.40bps (consensus c.39bps). Taken together, the 2026 guidance implies consensus PBT upgrade of mid to high single digits. For the medium term, management targets the following ex notable items, (i) revenue rising to 5% year on year growth by 2028, (ii) ROTE 17% or better each year in 2026, 2027 and 2028, (iii) dividend 50% of EPS.

Hang Seng: \$0.9bn upside and synergy

Management announced ambition to generate benefits of \$0.9bn from Hang Seng privatisation by 2028, of which \$0.5bn is classified as expected synergies in line with UK reporting standards. Within this \$0.3bn relates to costs. The expected synergies and the recognition of minority interest P&L alone would equalise the benefit of the foregone buyback. Beyond the \$0.9bn, management also see further upside from asset quality improvement, further investments into Hang Seng and market growth.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	23,597	26,244	29,457	31,301	33,654
EPS	1.29	1.51	1.74	1.90	2.11
EPS Change (YoY)	-0.1%	17.2%	15.3%	9.2%	11.2%
Consensus EPS (Visible Alpha)			1.56	1.70	1.92
Dividend / Share	0.87	0.75	0.83	0.94	1.05
Adjusted NAV PS	8.61	9.64	9.91	10.52	11.20
Valuation (Dec)					
P/E	13.46x	11.49x	9.96x	9.12x	8.21x
Price / NAV	2.02x	1.80x	1.75x	1.65x	1.55x
Net Yield	5.03%	4.34%	4.78%	5.45%	6.06%

25 February 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$149.60	HK\$158.25
2026E EPS	1.69	1.74
2027E EPS	1.89	1.90

Emma Xu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 8165
emma.xu@bofa.com

Perlie Mong >>
Research Analyst
MLI (UK)
+44 20 7996 6717
perlie.mong@bofa.com

Stock Data

Price	135.30 HKD
Price Objective	158.25 HKD
Date Established	25-Feb-2026
Investment Opinion	B-1-7
52-Week Range	70.05 HKD-141.50 HKD
Mkt Val / Shares Out (mn)	297,060 USD / 17,175.2
Market Value (mn)	2,323,810 HKD
Average Daily Value (mn)	218.86 USD
Free Float	99.9%
BofA Ticker / Exchange	XHSBF / HKG
Bloomberg / Reuters	5 HK / 0005.HK
ROE (2026E)	16.6%

CRE: Commercial real estate

ECL: Expected credit losses

NII: Net interest income

PBT: Profit before tax

ROTE: Return on tangible equity

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Refer to important disclosures on page 14 to 16. Analyst Certification on page 11. Price Objective Basis/Risk on page 11.

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iQprofileSM HSBC

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US\$ Millions)					
Net Interest Income	32,970	34,794	37,112	38,356	39,908
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	0	0	0	0	0
Total Non-Interest Income	34,464	36,226	36,483	38,467	40,864
Total Operating Income	67,434	71,020	73,595	76,823	80,773
Operating Expenses	(32,810)	(33,464)	(33,874)	(34,769)	(35,758)
Pre-Provision Profit	34,624	37,556	39,721	42,054	45,015
Provisions Expense	(3,414)	(3,850)	(3,941)	(3,978)	(3,983)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	1,098	164.00	2,810	2,921	2,921
Pre-Tax Income	32,308	33,870	38,590	40,997	43,953
Net Income to Comm S/Hold.	22,916	25,065	29,661	31,341	33,694
Adjusted Net Income (Operating)	23,597	26,244	29,457	31,301	33,654

Key Balance Sheet Data

Total Assets	3,017,048	3,233,034	3,307,724	3,398,348	3,498,684
Average Interest Earning Assets	2,099,285	2,260,485	2,346,867	2,429,524	2,525,004
Weighted Risk Assets	838,254	888,647	906,342	931,624	955,807
Total Gross Customer Loans	940,373	999,091	1,024,891	1,051,472	1,081,115
Total Customer Deposits	1,654,955	1,786,828	1,862,888	1,942,294	2,025,196
Tier 1 Capital	144,127	153,396	149,903	151,860	155,104
Tangible Equity	153,519	164,401	165,711	169,930	175,284
Common Shareholders' Equity	165,903	177,508	179,160	183,731	189,478

Key Metrics

Net Interest Margin	1.57%	1.54%	1.58%	1.58%	1.58%
Tier 1 Ratio	17.2%	17.3%	16.5%	16.3%	16.2%
Effective Tax Rate	22.6%	20.0%	19.6%	20.3%	20.3%
Loan / Assets Ratio	30.8%	30.6%	30.7%	30.6%	30.6%
Loan / Deposit Ratio	56.2%	55.3%	54.4%	53.6%	52.9%
Oper Leverage (Inc Growth - Cost Growth)	-0.3%	3.3%	2.4%	1.7%	2.3%
Gearing (Assets / Equity)	18.2x	18.2x	18.5x	18.5x	18.5x
Tangible Common Equity / Assets	5.1%	5.1%	5.0%	5.0%	5.0%
Tangible Common Equity / WRAs	18.3%	18.5%	18.3%	18.2%	18.3%
Revenue Growth	2.6%	5.3%	3.6%	4.4%	5.1%
Operating Expense Growth	2.9%	2.0%	1.2%	2.6%	2.8%
Provisions Expense Growth	-1.0%	12.8%	2.4%	0.9%	0.1%
Operating Revenue / Average Assets	1.0%	1.1%	1.1%	1.1%	1.2%
Operating Expenses / Average Assets	-1.1%	-1.1%	-1.0%	-1.0%	-1.0%
Pre-Provision ROA	1.1%	1.2%	1.2%	1.3%	1.3%
ROA	0.8%	0.8%	0.9%	0.9%	1.0%
Pre-Provision ROE	20.8%	21.9%	22.3%	23.2%	24.1%
ROE	13.7%	14.6%	16.6%	17.3%	18.1%
RoTE	15.3%	16.5%	17.8%	18.7%	19.5%
RoWRAs	8.0%	8.2%	8.2%	8.4%	8.6%
Dividend Payout Ratio	67.7%	49.8%	47.6%	49.7%	49.8%
Efficiency Ratio	48.7%	47.1%	46.0%	45.3%	44.3%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	49%	49%	50%	50%	49%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	9.9%	10.3%	9.9%	9.5%	8.8%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	42.8%	43.2%	42.1%	41.1%	41.1%
Loan Loss Reserves / Total Loans	1.0%	1.1%	1.1%	1.0%	1.0%
Provisions Expense / Average Loans	0.4%	0.4%	0.4%	0.4%	0.4%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

HSBC Holdings is the leading cross-border international banking group, with particular strength in Asia (ex Japan), but also with strong presence in the UK, the Middle East, and North America. The UK and Hong Kong are its two home markets, where it has market-leading full service offerings. Outside of the home markets its strategic focus are international corporate and institutional banking, and international wealth and premier banking focused on the affluent segment.

Investment Rationale

HSBC has an enviable franchise in both Hong Kong and the UK and is well placed to capture structural growth opportunity, such as Asia Wealth Management. HSBC's expected cash yield compares favourably with both the UK/HK and Chinese banks, particularly when buyback restarts. Management is now targeting mid-teens returns (excluding notable items) for each of 2025-2027, which we think they can exceed each year through to 2028.

Stock Data

Price to Book Value

1.6x



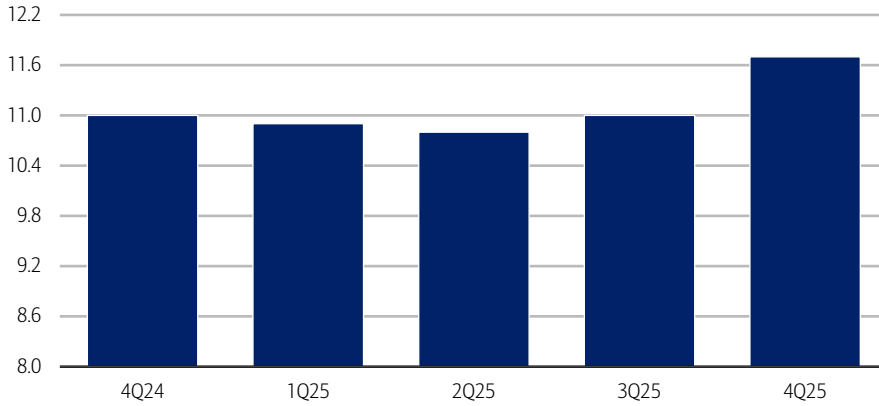
Banking NII: Deposit 3% in the quarter

Banking NII key beat in the quarter, 6% above consensus

Banking NII was up c.\$0.7bn in the quarter, largely driven by \$0.4bn from Hong Kong including from higher HIBOR. There was also a \$0.1bn one-off benefit in the quarter that is not expected to repeat.

Exhibit 1: Banking NII, Q424-Q425, \$bn

Banking NII was up \$0.7bn (or 6%) in the quarter, reflecting HIBOR benefit, as well as deposit inflows



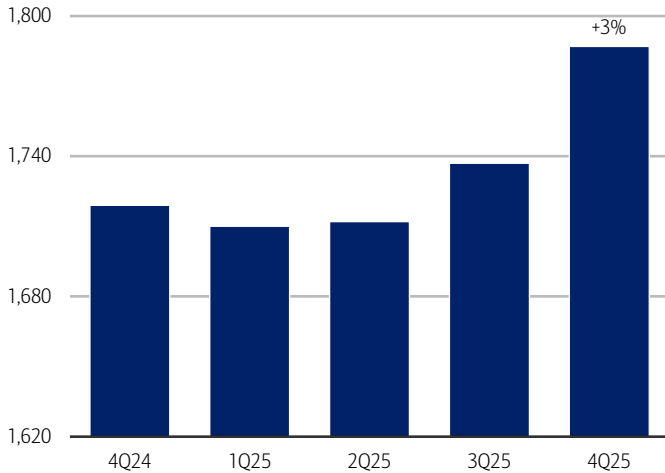
Source: Company reports

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Deposit was particularly strong in the quarter, up c.3% in the quarter alone. Most of the deposit inflow in the quarter came from Hong Kong, given capital and wealth related activities. We forecast Hong Kong deposits to grow by c.5% p.a. in 2026-2028.

Exhibit 2: Customer deposits, Q424-Q425, \$bn

Growth was particularly strong in Q4, up 3% in one quarter

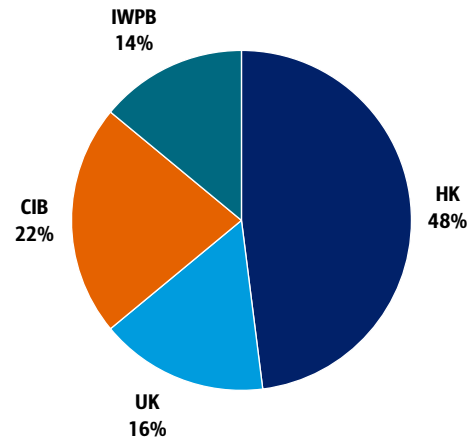


Source: Company reports

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Exhibit 3: Deposit growth breakdown by division

Most of the growth came from Hong Kong, which was up \$24bn in one quarter



Source: Company reports

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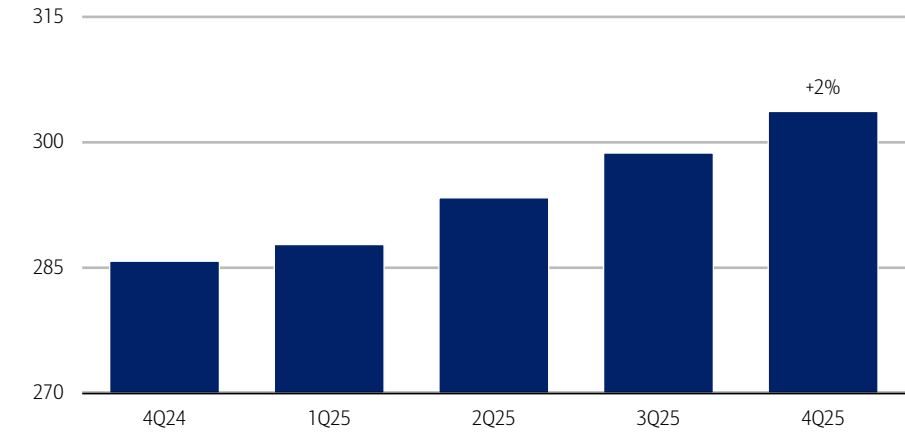
Loan growth – UK remains main engine of growth

Similar to other UK banks, HSBC UK also saw strong lending growth, particularly in mortgages and targeted sectors in Commercial Banking. Hong Kong loan growth remains muted given customer repayments and low demand.



Exhibit 4: UK loan growth, \$bn

UK loan growth was 2% in the quarter, and 6% in the year, in line with other large UK banks



Source: Company reports

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Sensitivity – higher due to convexity

Banks’ rate sensitivities increase with lower rates, as more deposit products hit the 0% floor. Total year 1 sensitivity to a -100bps down shock increased c.\$0.3bn since H125.

Exhibit 5: Banking NII year 1 sensitivity to -100bps down shock

Increased by c.\$0.3bn since H125.

	FY25	H125
USD	-1184	-861
HKD	-606	-634
GP	-499	-390
EUR	-129	-249
Other	-971	-983
Total	-3389	-3117

Source: Company reports

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Wealth – strength remains

Wealth fee income – up 20% year on year

HSBC produced another quarter of strong Wealth income, which was +20% year on year, taking the full year growth to c.24%.

Management will be providing updated disclosures on Wealth from Q126. This will include:

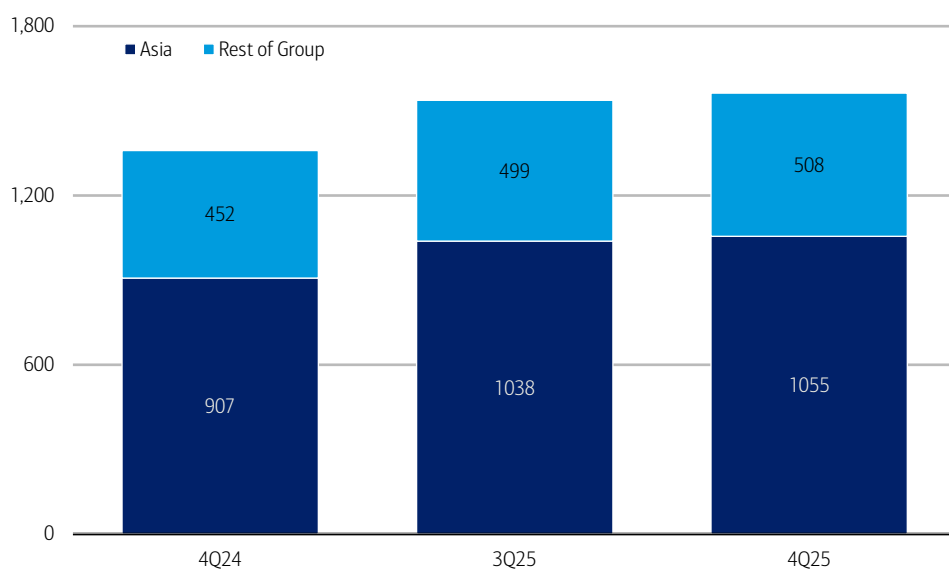
- (i) Wealth balances (Premier and Private Bank), replacing invested assets
- (ii) Net New Money, replacing net new invested assets

The new disclosures remove balances relating to Asset Management third party distribution activities, and include deposit balances from Premier and Private Bank clients.

On a revised basis, Asia wealth balances were up c.16% in the year.

Exhibit 6: Wealth balances, \$bn

Asia wealth balances grew by c.16%.



Source: Company reports

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Insurance – CSM continues to grow

CSM release was \$1.4bn in the year (Q425: \$0.4m). Coupled with strong new business growth driven by High Net Worth sales in Asia, new Wealth and Retirement products in Hong Kong, and margin improvement, this should translate into a steady revenue stream for the future.



Cost – A number of moving parts

Delivered 3% cost growth in FY25; 2026 guidance – 1% on target basis

2026 guidance is expected to be up 1% on target basis. This guidance includes simplification savings that are running ahead of schedule.

Actions have already been taken to realise c.\$1.2bn annualised simplification savings on an accelerated timeline (previous c.\$1bn by year-end 2025), and c.\$0.6bn simplification savings realised in the FY25 P&L (originally guided to c.\$0.3bn at FY24).

Hang Seng - \$0.6bn below the line, for \$0.9bn of upside and synergies

Hang Seng upside and synergies are expected to be \$0.9bn in total, of which \$0.3bn comes from costs. In order to realise these, management has guided to a \$0.6bn material notable item (restructuring charges) to be completed by year-end 2028.

\$0.3bn cost synergy to be reallocated to growth

Management previously identified \$1.5bn cost to be reallocated from low returning, non strategic areas to growth. This has been increased to \$1.8bn to include the \$0.3bn Hang Seng cost synergies, which will be reinvested for growth.

Exits – 11 announced in 2025, 4 completed to date

No new exits announced in 4Q25. Of the 11 exits already announced, 4 are already completed.

Announced:

- Malta
- Sri Lanka retail banking
- Germany custody business
- German fund administration
- Uruguay
- Bangladesh retail banking
- ECM and M&A and US, UK and Europe

Announced and completed:

- UK life insurance
- Stake in Grupo Galicia
- French home and other loans
- Bahrain retail banking

Impairments – No material charge for HK CRE this quarter

Limited change in the quarter, quality stable

Exhibit 7: Loans and advances to customers by credit quality, \$bn

Credit quality largely stable in the quarter

HK CRE	FY24	9M25	FY25
Strong	4.5	3.2	3.3
Good	9.8	8.4	8.2
Satisfactory	10.7	10.5	10.4
Substandard	3.7	2.5	2.4
Credit impaired	4.6	6.4	6.3
Total	33.3	31.0	30.6
ECL charge	0.1	0.7	0.7
ECL allowance	0.4	1.1	1.1
ECL allowance as % of substandard and credit impaired	5%	12%	13%
ECL allowance as % of credit impaired	9%	17%	17%

Source: Company reports

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ECL charges in the HK CRE portfolio increased from \$0.1bn in 2024 to \$0.7bn in 2025 (\$0.1bn/\$0.4bn/\$0.2bn in 1Q-3Q25 and immaterial in 4Q25). ECL allowance for the HK CRE portfolio increased from \$0.4bn by 2H24 to \$1.1bn by 2H25 (including \$0.9bn for the impaired book). ECL allowance to impaired loan ratio increased from 8.9% by 2H24 to 17.1% by 1H25, and remaining at this level by 2H25.



Actual versus consensus

Exhibit 8: Q425 actual vs consensus

Underlying PBT was 9% ahead of consensus, largely reflecting higher Banking NII

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25		4Q25		4Q25 vs		
	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Cons	BofA	Cons	4Q24	3Q25
Reported P&L													
Net interest income	8,653	8,258	7,637	8,185	8,302					7,985			
Other income	12,099	8,282	9,361	3,379	9,347					7,733			
Income	20,752	16,540	16,998	11,564	17,649	16,473	17,788	16,364	15,448	15,718	6%	42%	-8%
ECL	(720)	(346)	(986)	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,020)	(1,012)	-12%	-34%	-11%
Expenses	(8,151)	(8,145)	(8,143)	(8,604)	(8,102)	(8,920)	(10,076)	(9,330)	(9,321)	(9,398)	0%	8%	-7%
Associates	769	857	607	679	813	(162)	591	669	648	646	3%	-1%	13%
Profit before tax	12,650	8,906	8,476	2,277	9,484	6,326	7,295	6,802	5,755	5,954	18%	n.a.	-7%
Tax	(1,813)	(2,078)	(1,727)	(1,692)	(1,914)	(1,455)	(1,792)	(1,615)	(1,402)	(1,510)	15%	-5%	-10%
Profit after tax	10,837	6,828	6,749	585	7,570	4,871	5,503	5,187	4,353	4,444	19%	n.a.	-6%
Minorities	(654)	(425)	(615)	(388)	(638)	(293)	(630)	(468)	(400)	(409)	17%	21%	-26%
Attributable profit	10,183	6,403	6,134	197	6,932	4,578	4,873	4,719	3,953	4,035	19%	n.a.	-3%
Notable items													
Income	3,732	(161)	(211)	(4,940)	(91)	(1,184)	(112)	(1,359)	(1,697)	(1,700)	-	-	-
Expenses	(50)	(32)	(45)	(106)	(191)	(652)	(1,696)	(425)	(401)	(427)	-	-	-
Impairment inc associates		0				(1,000)			0	0	-	-	-
Profit before tax	3,682	(193)	(256)	(5,046)	(282)	(2,836)	(1,808)	(1,784)	(2,098)	(2,127)	-	-	-
Ex notables													
Banking NII	11,300	10,900	10,883	10,904	10,599	10,714	11,049	11,722	11,057	11,112	6%	8%	6%
Fees and other income	5,720	5,801	6,326	5,600	7,141	6,943	6,851	6,001	6,088	6,306	-1%	7%	-12%
Income	17,020	16,701	17,209	16,504	17,740	17,657	17,900	17,723	17,145	17,418	3%	7%	-1%
ECL	(720)	(346)	(986)	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,020)	(1,012)	-12%	-34%	-11%
Expenses	(8,101)	(8,113)	(8,098)	(8,498)	(7,911)	(8,268)	(8,380)	(8,905)	(8,920)	(8,971)	0%	5%	6%
Associates	769	857	607	679	813	838	591	669	648	646	3%	-1%	13%
Profit before tax	8,968	9,099	8,732	7,323	9,766	9,162	9,103	8,586	7,853	8,081	9%	17%	-6%
Key metrics													
Banking NII	11,300	10,900	10,883	10,904	10,599	10,714	11,049	11,722	11,057	11,112	6%	8%	6%
DPS (\$)	0.31	0.10	0.10	0.36	0.10	0.10	0.10	0.45	0.42	0.44	7%	25%	350%
Buybacks (i)	3,000	3,000	3,000	2,000	3,000	3,000	0	0	0	0.00			
CET1 ratio	15.2%	15.0%	15.2%	14.9%	14.7%	14.6%	14.5%	14.9%	14.7%	14.8%	0.2%	0.0%	0.4%
RWA (\$bn)	833	835	864	838	853	887	879	889	878	886	1%	6%	1%
Net customer loans	933,125	938,257	968,653	930,658	944,708	981,722	982,886	988,399	979,400	989,194	1%	6%	1%
Loan loss rate	0.31%	0.15%	0.40%	0.57%	0.37%	0.43%	0.40%	0.36%	0.42%	0.41%	-0.06%	-0.2%	0.0%
TNAVPS	8.67	8.35	9.00	8.61	9.08	9.17	9.22	9.64	9.38	9.53	3%	12%	5%

Source: Company consensus, BofA Global Research estimates

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Estimate changes

Exhibit 9: Forecast broadly unchanged as we were already ahead of consensus

We have kept our underlying PBT forecasts broadly unchanged for 27/28, although with some switching between NII and non NII. We have increased our underlying PBT for 2026 by 3%, reflecting lower costs

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	37,112	35,755	4%	38,356	37,347	3%	39,908	38,764	3%
Non Interest income	36,483	37,315	-2%	38,467	39,379	-2%	40,864	42,107	-3%
Total income	73,595	73,070	1%	76,823	76,727	0%	80,773	80,871	0%
Operating costs	(33,874)	(34,289)	-1%	(34,769)	(34,701)	0%	(35,758)	(35,620)	0%
Pre-provision profits	39,721	38,782	2%	42,054	42,026	0%	45,015	45,252	-1%
Impairments	(3,941)	(3,957)	0%	(3,978)	(4,007)	-1%	(3,983)	(4,057)	-2%
Associates and JV	2,810	2,788	1%	2,921	2,925	0%	2,921	2,925	0%
Underlying PBT	38,590	37,613	3%	40,997	40,944	0%	43,953	44,120	0%
Income exceptionals	-	-	-	-	-	-	-	-	-
Cost exceptionals	(1,600)	(900)	-	(200)	-	-	(200)	-	-
Impairment exceptionals	-	-	-	-	-	-	-	-	-
Stat profit before tax	36,990	36,713	1%	40,797	40,944	0%	43,753	44,120	-1%
Tax	(7,546)	(7,489)	-	(8,323)	(8,353)	-	(8,926)	(9,000)	-
Other equity holders	(1,183)	(1,120)	-	(1,183)	(1,120)	-	(1,183)	(1,120)	-
NCI	(200)	(200)	-	(150)	(150)	-	(150)	(150)	-
Statutory AP	28,061	27,903	1%	31,141	31,321	-1%	33,494	33,849	-1%
Banking NII	45,434	44,617	2%	46,677	46,209	1%	48,230	47,626	1%
Non Banking NII	28,161	28,454	-1%	30,146	30,518	-1%	32,543	33,246	-2%
Profitability Metrics									
EPS (reported)	165	164	1%	189	189	0%	210	211	-1%
EPS (underlying)	174	169	3%	190	189	0%	211	211	0%
Stat ROTE	17.2%	17.2%	0.0%	18.5%	18.5%	-0.1%	19.3%	19.4%	0.0%
Underlying ROTE	18.0%	17.7%	0.4%	18.6%	18.5%	0.0%	19.4%	19.4%	0.1%
Key balance sheet items (\$m)									
Loans and advances to customers	1,014,199	1,020,449	-1%	1,040,780	1,046,317	-1%	1,070,423	1,072,866	0%
Tangible Equity	166,463	166,238	0%	170,682	171,558	-1%	176,036	178,134	-1%
TBVPS	991	988	0%	1,052	1,053	0%	1,120	1,126	-1%
Capital and Distributions									
CET1 ratio	14.2%	14.1%	0.2%	14.1%	14.1%	0.0%	14.1%	14.2%	-0.2%
Risk Weighted Assets	906,342	910,023	0%	931,624	932,662	0%	955,807	952,643	0%
DPS (c)	82.7	82.2	1%	94.3	94.6	0%	104.9	105.4	-1%
Buyback announced	8,000	7,000	14%	11,000	10,000	10%	11,000	10,000	10%

Source: BofA Global Research estimates

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Banking NII: We have increased banking NII estimates for 2026 to \$45.4bn, in line with new “at least \$45bn” guidance. We have assumed 3 US rate cuts this year, and 3-4% balance sheet growth in our estimates.

Non Banking NII: We have reduced our estimates slightly, in part reflecting some Wealth income coming through in Banking NII (via deposits). Management will provide ‘Wealth balances’ disclosures from Q126, which includes wealth deposits (Premier and Private Bank). Based on FY25 numbers, wealth deposits is c.40% of total wealth balances.

Costs: we have reduced costs estimates by c.1% for 2026, reflecting updated guidance, as the simplification programme is running ahead of schedule.

Notable items: We note the two key changes – (i) Malta is expected to recognize in H126 instead of Q425, (ii) Hang Seng privatization related restructuring costs expected to be c.\$0.6bn, to be fully taken by year-end 2028.

Buybacks: We have increased buyback by \$1bn per year. We expect cadence to return to \$2-3bn per quarter from H125.



Exhibit 10: Revised estimates versus consensus

Our revised estimates are c.7-8% ahead of company pre-results consensus at the PBT level.

	2026E			2027E		
	Cons	BofA	Diff	Cons	BofA	Diff
NII	43,510	45,434	4%	44,366	46,677	5%
Other income	27,968	28,161	1%	29,582	30,146	2%
Total income	71,478	73,595	3%	73,948	76,823	4%
Costs	(34,260)	(33,874)	-1%	(35,086)	(34,769)	-1%
PPOP	37,218	39,721	7%	38,862	42,054	8%
Impairments	(3,964)	(3,941)	-1%	(3,854)	(3,978)	3%
Other income/ Associates	2,768	2,810	2%	2,864	2,921	2%
Underlying PBT	36,022	38,590	7%	37,872	40,997	8%
Exceptionals	(978)	(1,600)	64%	(211)	(200)	-5%
PBT	35,044	36,990	6%	37,661	40,797	8%
Reported EPS (i)	155.0p	165.4p	7%	172.0p	188.6p	10%
Adj. EPS		173.6p			189.6p	
EPS	155.0	165.4	7%	172.0	188.6	10%
ROTE (ex notable items)	16.6%	18.0%	1.4%	17.0%	18.6%	1.6%
CET1	14.2%	14.2%	0.0%	14.3%	14.1%	-0.2%
DPS	78.0	82.7	6%	86.0	94.3	10%
Buyback (i)	6,111	8,000	31%	9,472	11,000	16%
TBVPS	980	991	1%	1052	1,052	0%

Source: Company consensus, BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

HSBC (XHSBF)

We derive our PO using a sum-of-the-parts (SOTP) valuation where we value each business line separately using target P/E and implied P/TBV multiples based on 2027e earnings. At group level, this results in an implied cost of equity (COE) of c.11% assuming 2% growth. We incorporated the discounted value of cumulative dividends paid over the forecasting period, as well as excess capital to 14% CET1 (bottom end of management's target range). Using this approach, we calculate a PO of HK\$158.25.

Downside risks to our PO: (i) US interest rates falling faster than expected, (ii) US-China relations deteriorating more than expected, reducing global trade flows, (iii) cost of reorganisation being higher than expected.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
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	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CIJF	2628 HK	Michael Li
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTHFF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Qifu Technology	QFIN	QFIN US	Emma Xu
	Qifu Technology	XDXRF	3660 HK	Emma Xu
	Sinolink Securities	XERQF	600109 CH	Susie Liu, CFA
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	Zheshang Securities	XDSEF	601878 CH	Susie Liu, CFA
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Construction Bank	CICHF	939 HK	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

UNDERPERFORM

	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHMF	3968 HK	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	XCJRF	6099 HK	Susie Liu, CFA
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XCJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA

RVW

Lufax Holding	LU	LU US	Emma Xu
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Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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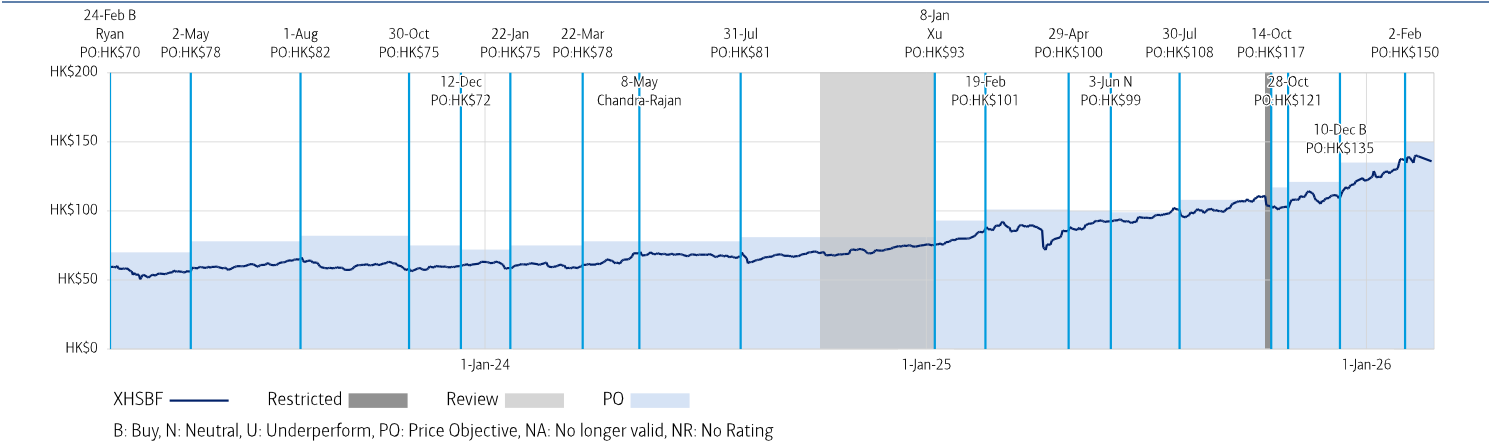
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Disclosures

Important Disclosures

HSBC (XHSBF) Price Chart



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Equity Investment Rating Distribution: Banks Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	113	54.07%	Buy	90	79.65%
Hold	55	26.32%	Hold	44	80.00%
Sell	41	19.62%	Sell	33	80.49%

Equity Investment Rating Distribution: Global Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1869	53.99%	Buy	1069	57.20%
Hold	834	24.09%	Hold	481	57.67%
Sell	759	21.92%	Sell	383	50.46%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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